London or Amsterdam? Investing in the East India Companies, 1725–1750

Research brief for a letter to an ancestor

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The question

An ancestor will invest in January 1725 and must sell at a moment of their choosing between 1745 and 1750. The choice is between the English (British) East India Company (EIC) and the Dutch *Vereenigde Oost-Indische Compagnie* (VOC). This brief compares the two firms, traces their fortunes over the holding period, recommends one, names the best time to sell, and asks whether an ethical investor would choose differently.

Two different companies

By 1725 the VOC was a territorial power as much as a trading firm. It governed Batavia, the spice islands and the Cape, and its fixed capital of about 6.4 million guilders had never been enlarged, so growth was financed by borrowing [14]. Its shares were quoted as a percentage of their 1602 nominal value, and in 1725 they stood at about 650 per cent [14]. A buyer was therefore paying six and a half times par for a dividend set as a percentage of par.

The EIC in 1725 was mainly a trader working from forts and factories in India. Its £3.19 million of capital was largely lent to the British state, which paid it interest of 4 per cent on £3.2 million [12]. Its stock cost far less relative to par: about 149 in Amsterdam in October 1724 and 163–167 in June 1725 [16]. Amsterdam quoted it regularly and Dutch investors followed it closely [16][18], so an Amsterdam ancestor could buy it without leaving home.

Fortunes, 1725–1750

The VOC declined. The directors would not cut the dividend; they "used mounting debt to plug the resulting budgetary holes," and "from 1732 the share price glided downwards" [15]. Shares fell from 620 to 580 in September 1737 on news of wrecked return ships [14], and the VOC's annual cash flow turned negative from the late 1730s [15]. The 1740s added the Batavia massacre of 1740 [22], a French invasion of the Republic in 1747, and riots in Amsterdam in 1748 [3]. The Amsterdam financier Isaac de Pinto wrote in 1748 that VOC shares, "despised by the Dutch themselves," had

fallen to half their value of ten years before, and that English dividends were more than double the Dutch [3]. That December the Amsterdam directors and leading shareholders moved to make the Prince of Orange the Company's director-general [9], while the board delivered its annual report on the Company's affairs to the States General [10]. De Pinto was campaigning for that appointment, so I treat his "half" as a lower bound.

The EIC held steady and paid reliably. Its stock reached 189 in January 1731 [1]. Renewing its charter in 1730 cost a £200,000 payment and a cut in government interest [17], and the dividend fell from 8 to 7 per cent in 1732 [12]; the stock then traded around 148–161 through the 1730s [16]. In 1744 it was forced to lend another £1 million to the Crown at 3 per cent, and its price fell 9 per cent relative to the VOC's [17]. Even so, the dividend went back to 8 per cent from 1743/4 and was paid in every year of the 1740s [12]. The Company kept announcing its dividend arrangements in December 1745, the week Jacobite troops reached Derby and London panicked [2][18], and again for Christmas 1748 [8].

Which company?

Exact monthly prices for 1745–50 are not available in any source I could reach, so I bracket the unknowns (details in the repository notes):

- **EIC:** buy at 149–165; dividends of 8 per cent for 1725–32, 7 per cent for 1733–43 and 8 per cent from 1744, totalling 189 per 100 of stock by the end of 1749 [12]; sell at 150 (crisis level), 170 (the long-run average [16][17]) or 190 (the 1731 level [1]).
- **VOC:** buy at 650 [14]; dividends of 15–20 per cent a year, with about 18.6 per cent implied by de Pinto's figure of 1.2 million guilders paid to shareholders each year [3] and consistent with a 2.9 per cent yield [14]; sell at 300, 400 or 500.

Exit end-1749	Worst case	Central case	Best case
EIC: money back per 1 invested	2.05	2.29	2.54
VOC: money back per 1 invested	1.04	1.33	1.54

Even the EIC's worst case beats the VOC's best. The EIC's dividends alone repay the purchase price about 1.2 times; the VOC's do not repay it at all, and its share price was falling. **Invest in the English East India Company.** In the central case, 1,000 becomes about 2,290 in the EIC and 1,330 in the VOC.

When to sell

British stocks followed the war. All British securities "dip[ped] sharply" in the 1745 Jacobite crisis [18]. When news came that Madras had fallen to the French in 1746, EIC stock "fell considerably" [20]. Government 3 per cent stock bottomed near 75 [19]. Then "when peace negotiations signaled the end of the war, … prices would rebound" [18]. Peace preliminaries signed at Aix-la-Chapelle in April 1748 were proclaimed in London that August [7], and the definitive treaty, which returned Madras,

was proclaimed in February 1749 [11]. By mid-1749 government 3 per cent stock had risen above par [19].

Two rules follow. First, Exchange Alley traded on news, including false news: Defoe described jobbers "coining false News, this way good, that way bad" [5]. Sell on confirmed events, not rumours. Second, each year held adds 8 points of dividend, about 5 per cent of cost. So: **never sell between December 1745 and the 1748 peace; sell on the post-war plateau, ideally in December 1750 after the Christmas half-year dividend is secured.** The 1750 debt conversion trimmed the interest the government paid the EIC and caused a fight at its shareholders' meeting [19], but it did not touch the 8 per cent dividend [12]. Late 1749 is an acceptable earlier exit, losing one year's dividend. Do not hold beyond 1750: the dividend was cut to 6 per cent in 1755 [12]. (Should the ancestor buy the VOC anyway, they should sell at the very start of the window, in January 1745.)

Would an ethical investor choose differently?

No, but the reasons need stating honestly. During the holding period the VOC was a colonial government as well as a trader. In October 1740 the Dutch authorities in Batavia armed "the low-class masses" and gave them a free hand against the Chinese; most sources agree that about 10,000 Chinese inside the city were killed [22]. Over the seventeenth and eighteenth centuries the Company, its employees and Batavian traders imported roughly half of the 200,000–300,000 enslaved people brought into Dutch Southeast Asia [21]. In 1745 the Company chartered an opium monopoly on Java, owned by its own senior officials and pledged to sell 1,200 chests a year [4].

These are not only modern judgements. In 1748 Montesquieu wrote that slavery "n'est pas bon par sa nature" and mocked the planters' argument that sugar would cost too much without it [6].

The EIC was not clean. Its records show about 70 slaving voyages between 1622 and 1772, carrying at least 3,300 people, mostly from Madagascar, to work at Bencoolen and St Helena [21]. But before 1750 it ruled little beyond its fortified towns, and much of its value was a loan to the British state [12]. Its era of conquest, which Adam Smith judged left it "altogether unfit to govern its territorial possessions" [13], began with Plassey in 1757.

So the ethical choice and the profitable choice coincide. Ethics adds a firmer instruction: **sell by the end of 1750 and do not reinvest in the EIC**, because its later profits came from conquest. An investor who wants no colonial exposure at all would have to leave both companies for British government stock, at a lower return.

Conclusion

Buy EIC stock in January 1725, in London or Amsterdam. Hold through the 1732 dividend cut, the 1744 forced loan and the panic of 1745–47. Sell in late 1750. The expected result is roughly 2.3 times the money, against about 1.3 times in the VOC, from the company that did less harm in these years.

Bibliography

P = primary source; *S* = secondary source. Sources 1–11 were written between 1719 and 1750; 12–13 are later eighteenth-century primary sources. Non-English sources are marked.

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